

LOGISTICS SERVICES AGREEMENT

Contract Reference: **CT-2023-014**

Effective Date: 1 January 2023 | Initial Term: 24 months (expires 31 December 2024)

CLIENT: Tamween Distribution Co. (TDC), Riyadh, KSA
SERVICE PROVIDER: Gulf Logistics Services Co, Dammam, KSA
Vendor ID (TDC system): V-1199

1. Services

Third-party logistics services covering inbound transportation from port of Jeddah and Dammam, regional line-haul to TDC's twelve (12) warehouses, last-mile distribution to customer delivery points, and reverse logistics for damaged or expired goods.

2. Pricing — Base Schedule

Base monthly service fee SAR 188,000 (Schedule B, 2023 schedule). Pricing is denominated in SAR.

3. Term, Renewal, and Rate Escalation — IMPORTANT

3.1 Initial Term. The initial term shall be twenty-four (24) months commencing 1 January 2023 and expiring 31 December 2024.

3.2 Automatic Renewal. *This Agreement shall automatically renew for successive one (1) year terms unless terminated by either Party giving not less than ninety (90) days' written notice prior to the end of the then-current term.*

3.3 Rate Escalation on Renewal. *Upon each automatic renewal the Service Fees set forth in Schedule B shall escalate annually by the Saudi Consumer Price Index (CPI) plus three percent (3%), with no cap on the cumulative escalation.* The CPI figure shall be that published by the General Authority for Statistics (GASTAT) for the calendar year immediately preceding the renewal.

3.4 Worked example. If 2025 KSA CPI is 2.5%, the renewal year (2026) escalation shall be 2.5% + 3% = 5.5% above the 2025 service fee. If the same dynamic recurs in 2027, escalation shall again compound on the 2026 fee.

4. Invoicing & Payment

Monthly invoices issued on the first business day of each month. Payment terms net 30 from invoice date.

5. Service Levels

On-time-in-full delivery KPI: 96%. Liquidated damages of 0.5% of monthly fee per percentage point below target, capped at 10% of monthly fee.

6. Governing Law

Laws of the Kingdom of Saudi Arabia. Disputes to SCCA arbitration.

For and on behalf of Tamween
Distribution Co.

For and on behalf of the Supplier

Authorised Signatory

Name:

Title:

Date:

Authorised Signatory

Name:

Title:

Date: